

[Chapter 1](#)): you create a synthetic agent, someone who takes the most recent number as the best predictor of the next, while assuming that he does not know anything. Then all you have to do is compare the error rates of the hotshot economists and your synthetic agent. The problem is that when you are swayed by stories you forget about the necessity of such testing.

Events Are Outlandish

The problem with prediction is a little more subtle. It comes mainly from the fact that we are living in Extremistan, not Mediocristan. Our predictors may be good at predicting the ordinary, but not the irregular, and this is where they ultimately fail. All you need to do is miss one interest-rates move, from 6 percent to 1 percent in a longer-term projection (what happened between 2000 and 2001) to have all your subsequent forecasts rendered completely ineffectual in correcting your cumulative track record. What matters is not how often you are right, but how large your cumulative errors are.

And these cumulative errors depend largely on the big surprises, the big opportunities. Not only do economic, financial, and political predictors miss them, but they are quite ashamed to say anything outlandish to their clients—and yet *events, it turns out, are almost always outlandish*. Furthermore, as we will see in the next section, economic forecasters tend to fall closer to one another than to the resulting outcome. Nobody wants to be off the wall.

Since my testing has been informal, for commercial and entertainment purposes, for my own consumption and not formatted for publishing, I will use the more formal results of other researchers who did the dog work of dealing with the tedium of the publishing process. I am surprised that so little introspection has been done to check on the usefulness of these professions. There are a few—but not many—formal tests in three domains: security analysis, political science, and economics. We will no doubt have more in a few years. Or perhaps not—the authors of such papers might become stigmatized by his colleagues. Out of close to a million papers published in politics, finance, and economics, there have been only a small number of checks on the predictive quality of such knowledge.

Herding Like Cattle

A few researchers have examined the work and attitude of security analysts, with amazing results, particularly when one considers the epistemic arrogance of these operators. In a study comparing them with weather forecasters, Tadeusz Tyszka and Piotr Zielonka document that the analysts are worse at predicting, while having a greater faith in their own skills. Somehow, the